SINGLE-STOCK · INTERNAL / BUY-SIDE ONLY · MAY 13, 2026

Circle Internet Group (CRCL)

The regulated stablecoin infrastructure layer — priced for perfection after a **+68% YTD run**, with three unresolved debates that determine whether this is a **$200 stock or a $75 stock**.

NYSE: CRCL	Price: ~$123	Mkt Cap: ~$30.5B	IPO: Jun 5, 2025	YTD: +68%

01 — BUSINESS FRAME

Circle is the issuer of **USDC**, the second-largest stablecoin by supply and now the #1 stablecoin by adjusted on-chain transaction volume. The business model is structurally simple: Circle earns yield on the short-term Treasury and money market reserves backing every USDC in circulation. USDC in circulation stood at **$77.0B** at Q1 2026 end, up 28% YoY, with on-chain transaction volume of **$21.5T**, up 263% YoY.

Revenue is not diversified: reserve income represented $2,637M of FY2025 total revenue and reserve income of $2,750M, with "other revenue" (API services, Circle Payments Network, enterprise) contributing ~$90–100M — guided to $150–170M in FY2026, the company's primary non-rate-linked growth vector.

TAM framing: USDC + Tether control >99% of on-chain stablecoin transaction volume. The stablecoin supply market is currently ~$240B globally; institutional projections put the 5-year TAM at $1–2T if regulatory frameworks hold.

02 — COMPETITIVE POSITION

THE MOAT

USDC is a regulatory-first, compliance-native stablecoin — the only one positioned to absorb institutional and sovereign-grade demand under the GENIUS Act regime. Evidence of durability:

1. **Transaction volume dominance**: USDC adjusted transaction volume of $2.2T YTD 2026 vs. Tether's $1.3T — USDC now commands ~64% of adjusted stablecoin volume (CoinDesk,

May 2026). This is a structural share gain, not a crypto-price artifact.

2. **Reserve credibility**: Circle has maintained Treasury-heavy reserves since 2023 — precisely the composition the GENIUS Act (signed July 18, 2025) mandates as the compliance standard. New entrants must restructure to comply; USDC is already there.

3. **Network effects**: USDC is integrated across every major DeFi protocol, exchange, and payment platform. Switching costs are low at the individual level but enormous at the ecosystem level — every protocol pricing in USDC liquidity creates a friction point for displacement.

4. **Institutional validation**: Arc token presale (May 2026, $222M at $3B valuation) attracted **BlackRock**, **Apollo**, **a16z**, **ICE**, and **ARK** — this is not retail validation. These names do diligence. (CNBC, May 11, 2026)

THREATS (NAMED)

1. **Coinbase structural drag (existential risk at scale)**: **COIN** earned ~56% of USDC reserve revenue in FY2024 under a revenue-sharing agreement giving Coinbase 100% of interest on USDC held directly on Coinbase, and 50% on all off-platform USDC. Coinbase's share of USDC supply has grown: 5% (2022) → 12% (2023) → 20% (2024) → 22% (Q1 2025). Agreement renews in 2026. **This is the single most important number to track.**

2. **Bank-issued stablecoins (medium-term structural)**: The GENIUS Act enables banks and fintechs to issue their own dollar stablecoins. JPMorgan, BofA, and payments networks have the distribution infrastructure to challenge USDC. Timeline to meaningful supply: 2–4 years. Risk is real; urgency is not acute in a 12-month horizon.

3. **Interest rate compression (immediate, quantifiable)**: Each 25bps Fed rate cut reduces reserve income by approximately **$50–70M** at current USDC supply levels. The Fed's rate path is the single biggest external variable for Circle's P&L.;

03 — FINANCIALS

METRIC	FY2024A	FY2025A	FY2026E
Total Revenue & Reserve Income	$1.70B	$2.75B	~$2.80–3.00B
YoY Growth	—	+64%	+2–9%
RLDC Margin	~39%	39.4%	38–40% (guided)
Adj. EBITDA	~$112M[1]	$582M	~$634M

METRIC	FY2024A	FY2025A	FY2026E
Net Income / (Loss)	$155.7M	($69.5M)[2]	~$55M[3]
Other Revenue	—	~$95M	$150–170M

[1] Directional estimate — FY2024 Adj. EBITDA not separately confirmed.

[2] Distorted by $424M stock-based compensation triggered by IPO vesting conditions.

[3] Q1 2026 net income from continuing operations was $55M; full-year consensus not confirmed.

STRUCTURAL NOTE

Key structural note: RLDC margin (the yield Circle retains after paying distribution costs to **COIN** and other partners) is the most important profitability metric. The 38–40% guided range implies Coinbase receives ~60–62% of gross reserve income on USDC it touches — effectively making Coinbase the silent majority owner of Circle's economics.

Balance sheet: Net cash position not confirmed. Adj. OpEx guided to $570–585M in FY2026. FCF data not available in public filings — [UNFOUND].

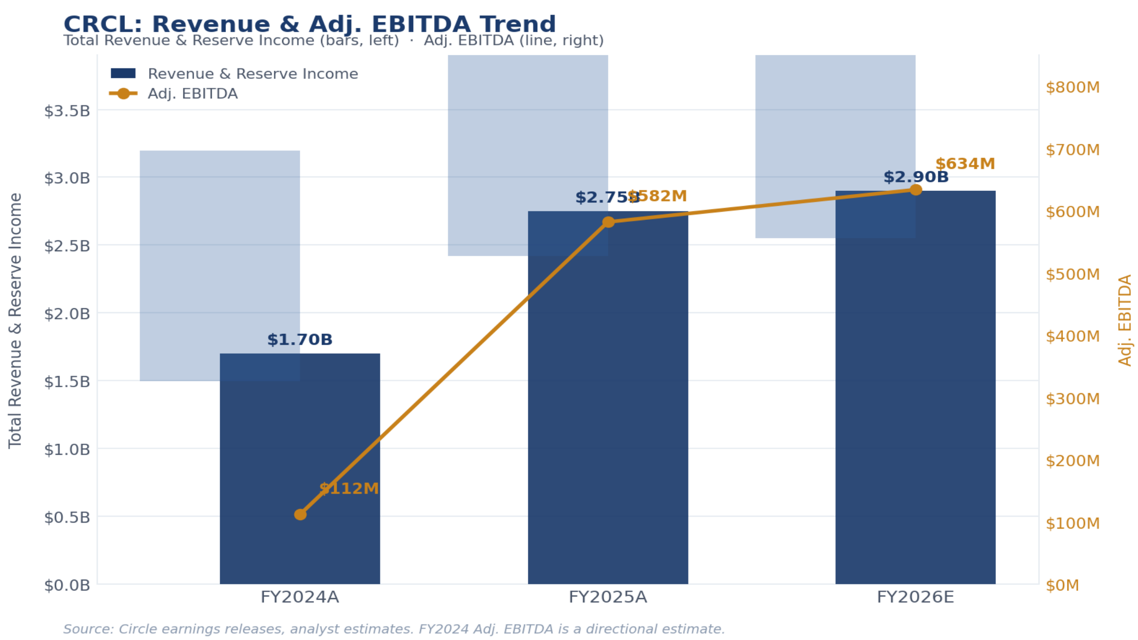

Fig. 1 — CRCL Revenue & Adj. EBITDA Trend. Source: Circle earnings releases, analyst estimates. FY2024 EBITDA is a directional estimate.

04 — VALUATION

MULTIPLE	CRCL (current)	Peer Avg (directional)	NOTE
NTM EV/EBITDA	43.4x	~18–25x	Growth premium; defensible only if Arc & USDC compound at >20%
NTM P/E	99.8x	~22–30x	Normalized EPS falling 49% FY2025→FY2026 as Arc spend peaks
Trailing P/E	NM (loss)	—	$424M SBC distorts FY2025

Peer set (directional estimate): No clean comp exists for **CRCL**. Fintech infrastructure (**TW**, **SQ**) and crypto proxies (**COIN**) blended. **Bull at $280** (Seaport Global): USDC reaches $200B+, Arc becomes a leading institutional blockchain, and Circle renegotiates the Coinbase revenue share. **Bear at $77–80** (Compass Point, Morgan Stanley): Fed cuts 100bps+, Coinbase dependency worsens, Arc execution disappoints.

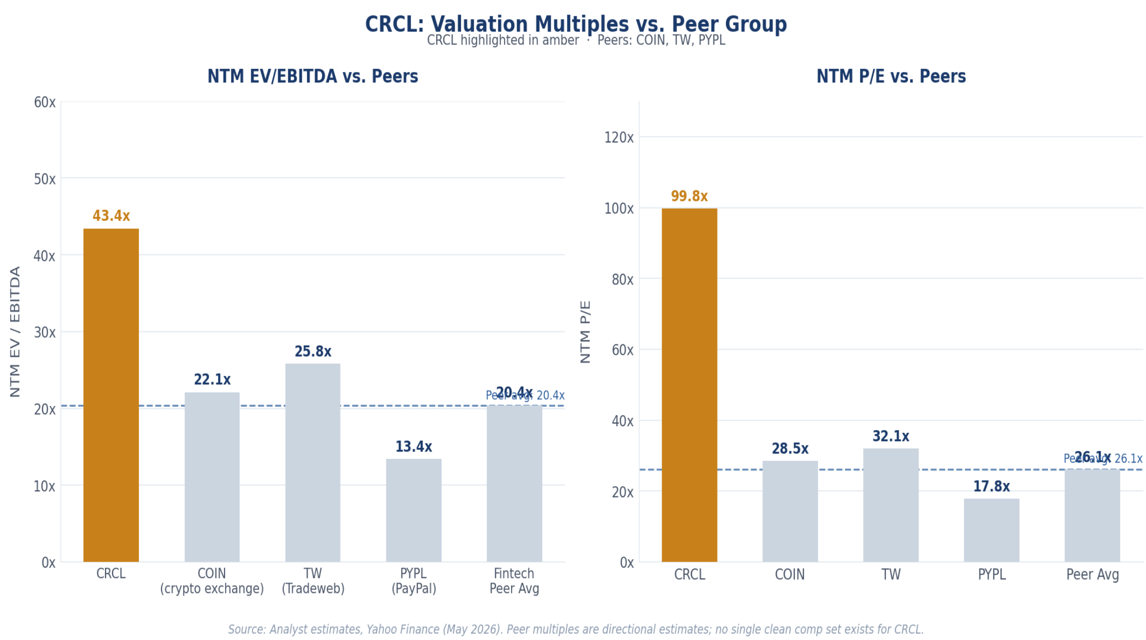

Fig. 2 — CRCL NTM EV/EBITDA and P/E vs. peer group. Source: Analyst estimates, Yahoo Finance (May 2026). Peer multiples are directional estimates.

05 — THE DEBATE

BULL CASE

Circle is the only regulated, institutionally credible stablecoin issuer at scale. USDC's transaction volume now exceeds Tether's despite lower supply — the velocity leader, not just the compliance-friendly option. The GENIUS Act created a regulatory moat that excludes non-compliant issuers and raises the barrier for new bank entrants by meaningful years. The Arc raise (**BlackRock**, **a16z**, **Apollo**) signals the 'just a stablecoin company' narrative is ending. **Regulatory clarity + adoption velocity + Arc optionality = a once-in-a-decade infrastructure bet at the intersection of AI, fintech, and cross-border settlement.** The Q1 2026 EPS beat of 19% above consensus shows operating leverage is real even as investments peak.

BEAR CASE

The Coinbase dependency is a fatal structural flaw that worsens with each quarter. **COIN** earned 56% of Circle's reserve revenue in FY2024 — a revenue share arrangement that **CRCL** had no leverage to renegotiate when it IPO'd. As Coinbase grows its USDC distribution share (5% → 22% in three years), Circle's effective yield per USDC in circulation declines structurally. The stock trades at 43x NTM EBITDA after a 68% YTD run, with EPS projected to fall 49% YoY as Arc investments peak. The GENIUS Act tailwind is fully priced: **CRCL** surged 20% on the May 4 CLARITY Act headline — completed catalyst, not pending. The Q1 2026 revenue miss (EPS beat on cost discipline, not revenue strength) is the canary. **If the Fed cuts 100bps, the stock is a $75–85 print.**

RECOMMENDATION VIEW

The business is exceptional. The stock, after 68% YTD, is not. The Coinbase structural drag is underappreciated by consensus, and the revenue miss in Q1 2026 is the first sign that growth assumptions are being stress-tested. Arc is an asymmetric bet, but it adds execution risk and is 12–24 months from generating meaningful revenue. **The risk/reward for new money at $123 is unattractive. For existing holders: hold with active stops on Fed rate cut catalysts and Coinbase revenue share renegotiation outcomes.**

06 — POSITIONING

Short interest: [UNFOUND] — GuruFocus license change eliminated this data stream. Check S3 Partners or Ortex before sizing any position.

Institutional ownership: 475 institutions holding ~105.8M shares. Largest holders: Marshall Wace, IDG-Accel, a16z (Accel XI Associates), Susquehanna International Group, **BlackRock**, Vanguard, **ARK**, Citadel. (Fintel, most recent 13F)

Directional estimate: Early-to-mid institutional consensus — not crowded in the traditional sense. The May 11 Arc presale added **BlackRock** and **Apollo** as direct economic stakeholders. ARK's presence signals high-conviction growth positioning. However, the 68% YTD run will have triggered momentum flows; any reversal will find fast-money positions unwound quickly.

07 — TRADEABLE EXPRESSION

CATALYST CALENDAR

(1) Coinbase revenue share renegotiation — due 2026 (exact date unconfirmed). Outcome is binary: improved terms = structural re-rating; renewed on current terms = persistent multiple cap.

(2) Arc blockchain mainnet launch — targeted H2 2026. First institutional transaction volume data will reprice the optionality embedded in current multiple.

(3) Q2 2026 earnings — estimated ~August 2026. Watch USDC circulation trajectory and whether Q1 revenue miss was a temporary glitch or trend.

(4) Federal Reserve rate decisions — any 25bps cut = ~$50–70M annual reserve income headwind at current supply levels.

(5) GENIUS Act compliance deadline — July 18, 2026. Non-compliant issuers must restructure; potential market share acceleration to USDC if competitors stumble.

EXPRESSION

TRADE STRUCTURE

Hold existing positions. Do not add new money at current price (~$123).

Ideal entry for new money: **$90–105 range** (~15–25% discount; arrives on rate cut signal, Q2 miss, or Arc execution concern).

Pre-Arc sizing: **3% of book** at $90–105. Add to **5–6%** on Arc mainnet confirmation with institutional volume metrics above $1B/quarter.

Hedge: Long **SHY** (3-month Treasury ETF) as rate hedge. Alternatively, small **COIN** long captures Coinbase renegotiation upside — **COIN** benefits from the same tailwind **CRCL** loses if arrangement holds.

Exit: Close/reduce if (a) Coinbase USDC share >30% without renegotiation, (b) USDC supply growth <15% YoY for two consecutive quarters, or (c) Fed cuts >75bps without offsetting USDC growth.

Time horizon: **12–18 months**.

08 — WHAT TO MONITOR

USDC SUPPLY WEEKLY	circle.com/transparency — published weekly. Threshold: $90B = reaccelerating adoption; below $70B = structural problem.
COINBASE REVENUE SHARE	COIN and CRCL 10-Qs: 'distribution, transaction and other costs' line. If this grows faster than USDC supply, economics are deteriorating. Watch for 8-K on renegotiation terms.
FED RATE DECISIONS	FOMC 2026: Jun 18, Jul 30, Sep 17, Nov 5, Dec 17. Each 25bps cut = ~$50–70M annual headwind. Break-even: USDC supply must grow ~$5–7B per 25bps cut.
ARC MAINNET METRICS	First institutional settlement volume, TVL vs. Ethereum/Solana, ARC token exchange listing. Mainnet without institutional uptake = optionality collapses.
Q2 2026 EARNINGS (~AUGUST)	Key metric: other revenue vs. $150–170M annualized guide. Second miss confirms deceleration.
GENIUS ACT DEADLINE (JUL 18)	Tether compliance or non-compliance. If Tether is restricted from US markets, USDC supply could surge materially.
BANK STABLECOIN ISSUANCE	OCC and Fed approvals for bank-chartered stablecoin issuers. Any JPMorgan or BofA announcement changes the long-term TAM argument.

TIME-SENSITIVE FLAGS & LOW-CONFIDENCE CAVEATS

TIME-SENSITIVE FLAGS

• **SHORT INTEREST DATA**: Short interest for **CRCL** is [UNFOUND]. GuruFocus discontinued this dataset. Check S3 Partners, Ortex, or FINRA short interest reports before sizing any position. A high short base would add squeeze potential to the Arc mainnet catalyst.

• **FCF DATA**: Free cash flow is [UNFOUND] from public sources reviewed. Verify FCF conversion from EBITDA via investor.circle.com before modeling. The $424M SBC charge in FY2025 distorts net income but does not affect cash generation.

• **COINBASE RENEGOTIATION TIMING**: The agreement 'renews in 2026' per multiple sources, but the exact date is Single source. Confirm with Circle's most recent 10-K or 8-K. This is the most important binary catalyst for Circle's long-term economics.

• **FY2024 ADJ. EBITDA**: The ~$112M FY2024A Adj. EBITDA figure is a Directional estimate derived from analyst projections, not confirmed in earnings filings. Verify against circle.com/pressroom.

• **PEER VALUATION MULTIPLES**: Peer average EV/EBITDA and P/E ranges are Directional estimates. Circle has no clean comp set. Apply multiples cautiously.

• **NORMALIZED EPS FY2026E**: The 49% EPS compression ($2.35 → $1.20) is a Directional estimate from one analyst source. Verify against current consensus at Bloomberg or FactSet before trading.

Internal research note — not for distribution. All views represent forward-looking estimates subject to material revision. Verify all flagged items before trading. MAY 13, 2026.